

FX Technical Update

US dollar rebound intact, but with rates hitting our bearish targets and the recent cross-market correlation, the near-term risk-reward looks less attractive

- EUR/USD tests the 1.0846 200-day moving average after breaking fourth-quarter trend-line support. Bearish short-term momentum stays in gear while below 1.09-1.10 resistance, but the recent cross-market correlations and the fact that DM rates are hitting our bearish targets makes the risk-reward for an immediate extension of the EUR/USD trend look less attractive. The next support layer sits at 1.0713-1.0735.
- The EUR/JPY bounce from 152.5288-154.03 support levels and the 200-day moving average carries further than expected. Bulls stay in gear above 158.67-159.25, but we are looking for a downside reversal from near current levels.
- Cable continues to carve out a potential short-term distribution pattern after the fourth-quarter rally decelerated near the 1.2726 Jul 61.8% retrace. Sustained closes below 1.2611 pattern support, 1.2526 Oct 38.2% retrace, and nearby cluster of moving averages would confirm the downside trend reversal.
- The USD/JPY bounce exceeds our expectations and nears the 149.442-149.755 resistance layer. The correlation with long-end DM bonds and those chart patterns leave us looking for USD/JPY to reverse lower. A move below 145.97-146.97 short-term support would confirm the trend reversal.
- AUD/USD slide meets critical support at 0.6499-0.6523. If tactical bounces fade near 0.664 resistance, it would increase the probability that the pair eventually pushes back into the fourth-quarter range, in our view.
- USD/CNH nears 7.239-7.2665 initial targets after releasing from the Nov-Jan reversal pattern. Key tactical support sits at 7.16-7.19.

Technical Strategy

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EUR/USD bear trend stays in gear, but the high cross-market correlations and bond proximity to support gives us pause

The **EUR/USD** chart on its own merit carries a bearish bias. The market bearishly released from the early-Jan holding pattern to the downside, broke 4Q23 channel support, and the **1.0912** 50-day moving average (Figure 1). Furthermore, that move saw a tentative break below the Dec-Jan range, which has the look of a potential bearish reversal pattern on the heels of the fourth-quarter advance. The market is left sitting just above the **1.0846** 200-day moving average and **1.0836** Dec-Jan .618 swing objective. Based on the chart alone, the bearish bias associated with the late-Dec momentum divergence sell signals (red arrows) stays in gear while below **1.09-1.10** resistance. From a strategy perspective, the simple message would mean hold a short trade and trail the stop. However, it is the recent cross-market relationships (FX trends highly correlated with DM intermediate yield trends) and the fact that bonds are now hitting our short-term bearish objectives that give us pause regarding pressing the bullish dollar view we have for 1H24. If bonds find buying interest near current levels and the cross-market correlation holds, dollar trends are due for consolidation. Given our broader 2024 outlook, we continue to think an eventual breakage in cross-market correlation will define the first half. The market clearly hasn't yet crossed the threshold where lower rates = risk-off = higher US dollar, so for now, we need to respect the markets continued extrapolation of the robust US data. If EUR/USD does see consolidation here, we would expect to see material selling pressure in that **1.09-1.10** area. Conversely, the next cluster of support rests at the **1.0724** Dec 8 low and **1.0713** Oct 61.8% retrace. Bigger picture, we are expecting an eventual break through that support and broader range support in the **1.04-1.05** area. Alternatively, a resumption of the fourth-quarter rally and push through the **1.1142** 4Q23 peak would turn our attention to range resistance clustered in the **1.12**-handles.

Figure 1: EUR/USD tests the 1.0846 200-day moving average after breaking fourth-quarter trend-line support. Bearish short-term momentum stays in gear while below 1.09-1.10 resistance, but the recent cross-market correlations and the fact that DM rates are hitting our bearish targets makes the risk-reward for an immediate extension of the EUR/USD trend look less attractive. The next support layer sits at 1.0713-1.0735.

EUR/USD, daily bars with momentum divergence signals



Source: J.P. Morgan, CQG

EUR/JPY rebound tags 161.24-162.05 resistance; key short-term trend support now rests at 158.67-159.25

The **EUR/JPY** rebound from the **153.86** Dec 8 low test of the rising 200-day moving average extends further than our expectations and hits the **161.24** Nov 21 low and other nearby trend-line and retracement resistance at **162.05** (Figure 2). For now, the bullish trend momentum stays in gear while above the **158.67-159.25** cluster of moving averages and chart pivot levels. However, we still remain on the lookout for a bearish trend reversal from nearby levels. Away from the short-term resistance already mentioned, the market is also near longer-term levels at **162.42-164.32**. On the downside, a break below aforementioned support would seek **156.07** 200-day moving average, **154.03** Jan 2023 38.2% retracement, and **153.86** Dec low.

Figure 2: The EUR/JPY bounce from 152.5288-154.03 support levels and the 200-day moving average carries further than expected. Bulls stay in gear above 158.67-159.25, but we are looking for a downside reversal from near current levels.

EUR/JPY, daily bars with momentum divergence signals



Source: J.P. Morgan, CQG

Cable forms a potential distribution pattern after the fourth-quarter rally

Continued range action provides no change to the **GBP/USD** setup, after the fourth-quarter advance decelerated in Nov-Dec as it achieved the **1.2726** Jul 61.8% retracement. That deceleration triggered our momentum divergence systematic sell signals, which continue to favor mean reversion over the near term (Figure 3, red arrows). Key short-term pattern support rests at **1.2611**. A break would seek the **1.2526** Oct 38.2% retracement and nearby cluster of moving averages. In our view, a move through that set of levels would put medium-term bears back in control as it would confirm a broader trend reversal. Next support rests at the **1.2339** Oct 61.8% retracement and Oct pattern high. While our bearish medium-term outlook for cable favors an eventual break through that support, we need to see bearish trend dynamics build after the 4Q23 rally put our view on the back foot. Bigger picture, we expect an eventual test of support near **1.20** and then **1.16-1.18** in the months/quarters ahead. Conversely, a continued rally would seek next resistance at the **1.2915** Jul 78.6% retracement, which is followed by longer-term resistance surrounding the **1.314** Jul 2023 peak.

Figure 3: Cable continues to carve out a potential short-term distribution pattern after the fourth-quarter rally decelerated near the 1.2726 Jul 61.8% retrace. Sustained closes below 1.2611 pattern support, 1.2526 Oct 38.2% retrace, and nearby cluster of moving averages would confirm the downside trend reversal.

GBP/USD, daily bars with momentum divergence signals



Source: J.P. Morgan, CQG

USD/JPY bounce stalls at key resistance; we expect a drop from that area

USD/JPY has perhaps the most sensitivity to DM bond trends of the markets covered in this note. With the yield backups that dominated Jan, USD/JPY also stretched further than we thought it would. The pair is now approaching the **149.442** Nov 78.6% retrace, **149.87** Mar-Jul internal trend line, and **149.755** early-Dec pivot (Figure 4). As long-end bond yields are hitting our Jan target zones, for which we are covering the remainder of our suggested short exposure, we think buying interest will put a ceiling over yields at nearby levels. Likewise, we are looking for USD/JPY to roll over. A breakthrough **145.97-146.97** support would confirm the trend reversal in our view. Other support rests at the **143.945** 200-day moving average. We believe a break below there would see bearish momentum build and set the market up for another go at the **139.585** Jan 2023 50% retrace and potentially other medium-term support at **136.668-137.915**. If the market takes another leg higher and proves our short-term outlook incorrect, next resistance sits at the **151.945** 2022-2023 double top.

Figure 4: The USD/JPY bounce exceeds our expectations and nears the 149.442-149.755 resistance layer. The correlation with long-end DM bonds and those chart patterns leave us looking for USD/JPY to reverse lower. A move below 145.97-146.97 short-term support would confirm the trend reversal.

USD/JPY, daily bars with momentum divergence signals



Source: J.P. Morgan, CQG

AUD/USD tries to stabilize at key support near 0.65; bounces are likely to be contained

AUD/USD tries to find some footing after the slide from the **0.6781-0.6901** medium-term resistance zone tagged critical support near **0.65**. That includes the fourth-quarter base pattern highs and Oct 61.8% retrace (Figure 5). Now in the middle of the broader 2023 trading range, we will watch the price action for guidance as to which end of that range the market will like move towards. Our bias is to the downside. An inability to trade back above the **0.664** 50-day moving average and recent pattern breakdown would build confidence in that outlook. A break to the downside would seek the **0.64** Oct 78.6% retrace. Longer-term support sits at **0.617-0.6269**. We are looking for a retest of that area in the months ahead. Since AUD/USD and other manufacturing cycle sensitive markets have potentially front-loaded a lot of weakness, we see the prospect that those markets can outperform other risky markets in as a broader DM slowdown is priced through the year.

Figure 5: AUD/USD slide meets critical support at 0.6499-0.6523. If tactical bounces fade near 0.664 resistance, it would increase the probability that the pair eventually pushes back into the fourth-quarter range, in our view.

AUD/USD, daily bars with momentum divergence signals



Source: J.P. Morgan, CQG

USD/CNH approaches initial rally targets after breaking out of the Nov-Jan pattern

The **USD/CNH** rally from the **7.1106** Jan 2023 38.2% retrace extends toward our initial target zone at **7.239-7.2665** after breaking out from the Nov-Jan base pattern (Figure 6). That area includes the Aug-Nov top pattern breakdown and Sep 61.8% retrace. We see the prospects for the pair to retest the **7.375-7.3682** 2022-2023 highs in the months ahead, but suspect a period of consolidation near noted resistance levels on the path to that area. Tactically, support rests at **7.16-7.19** moving averages and recent chart pivots. The ability to hold that support into Feb would increase our conviction in the broader bullish outlook.

Figure 6: USD/CNH nears 7.239-7.2665 initial targets after releasing from the Nov-Jan reversal pattern. Key tactical support sits at 7.16-7.19.

USD/CNH, daily bars with momentum divergence signals



Source: J.P. Morgan, CQG

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